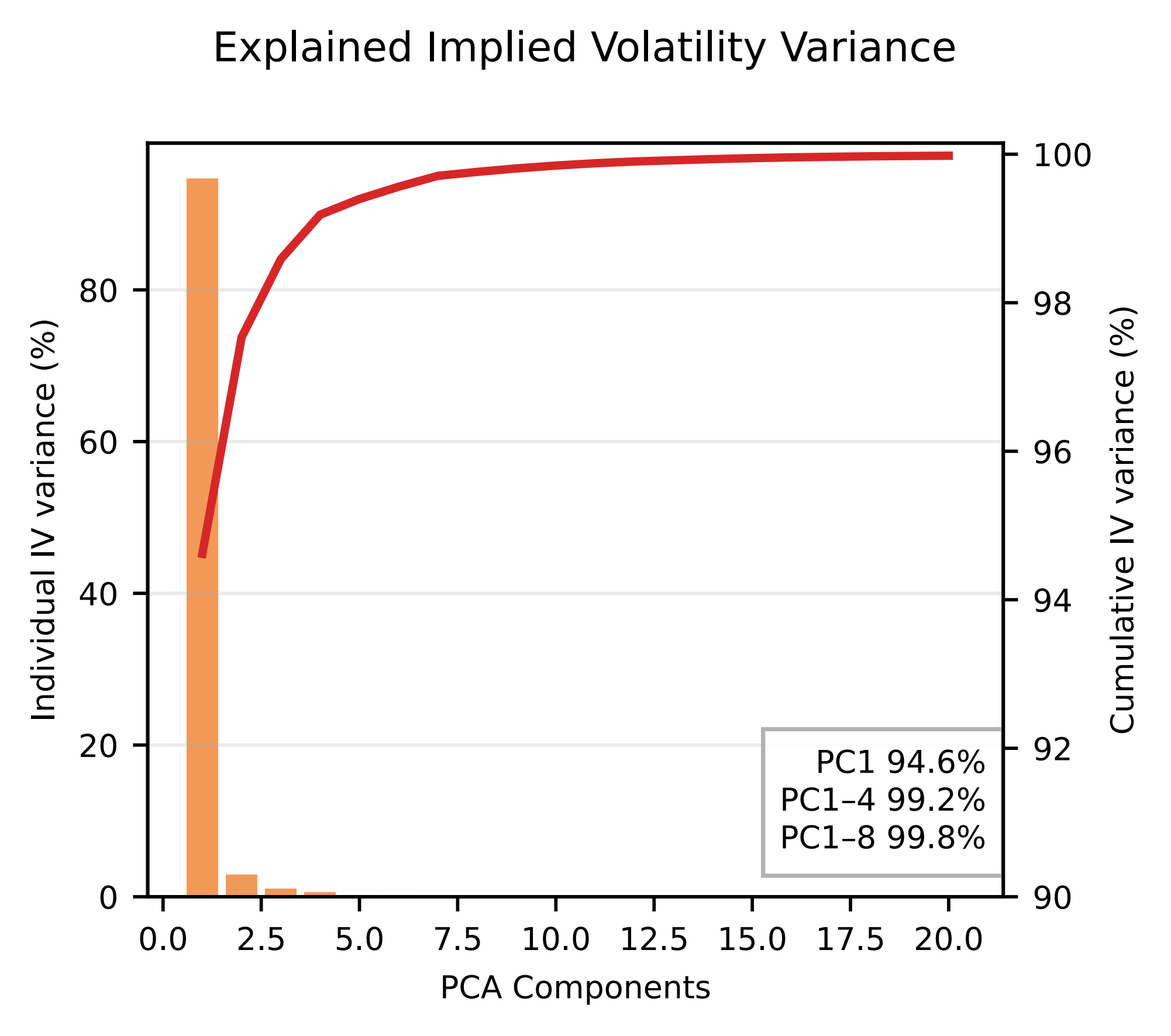
Explained Implied Volatility Variance
Individual IV variance (%)
Cumulative IV variance (%)
PCA Components
0
20
40
60
80
90
92
94
96
98
100
0.0
2.5
5.0
7.5
10.0
12.5
15.0
17.5
20.0
PC1 94.6%
PC1–4 99.2%
PC1–8 99.8%